

ENIAC • DISCOUNT STRATEGY

Discount Strategy Analysis

Does discounting help or hurt Eniac's revenue growth?

Whether or not it's beneficial to discount products?

Marketing

believes discounts drive acquisition, satisfaction, and retention — and that they're worth the cost.

The Board

orders are up but revenue is down. They want a quality-segment position, not a price war.

Data Analyzed:

9,992

products

226,904

raw orders analyzed

~15 mo.

of transaction history

Data Preparation

Data Issue Found	Action taken
Promotional price field was corrupted — decimal-shifted, unusable as recorded	Every discount recalculated directly from actual transaction prices rather than the corrupted field
Product type was numeric code with no documentation	Verified against real product records and mapped to 39 subcategories → 10 broad categories
5,620 "Completed" orders had missing or inconsistent line-item data	Referential-integrity checks applied across orders, order lines, and products before analysis
No product condition field existed	Condition (new / refurbished) inferred from consistent naming patterns, verified against sampled records

Discounting Is the Default, Not the Exception

92.8%

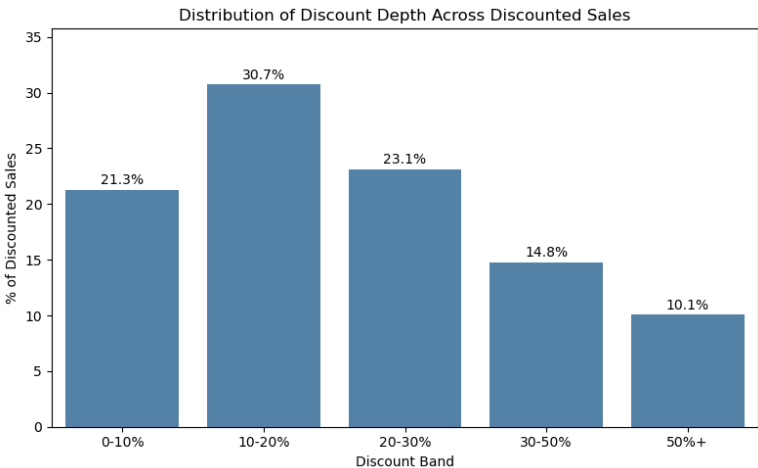
of all transactions included a discount vs. catalog price

96.2%

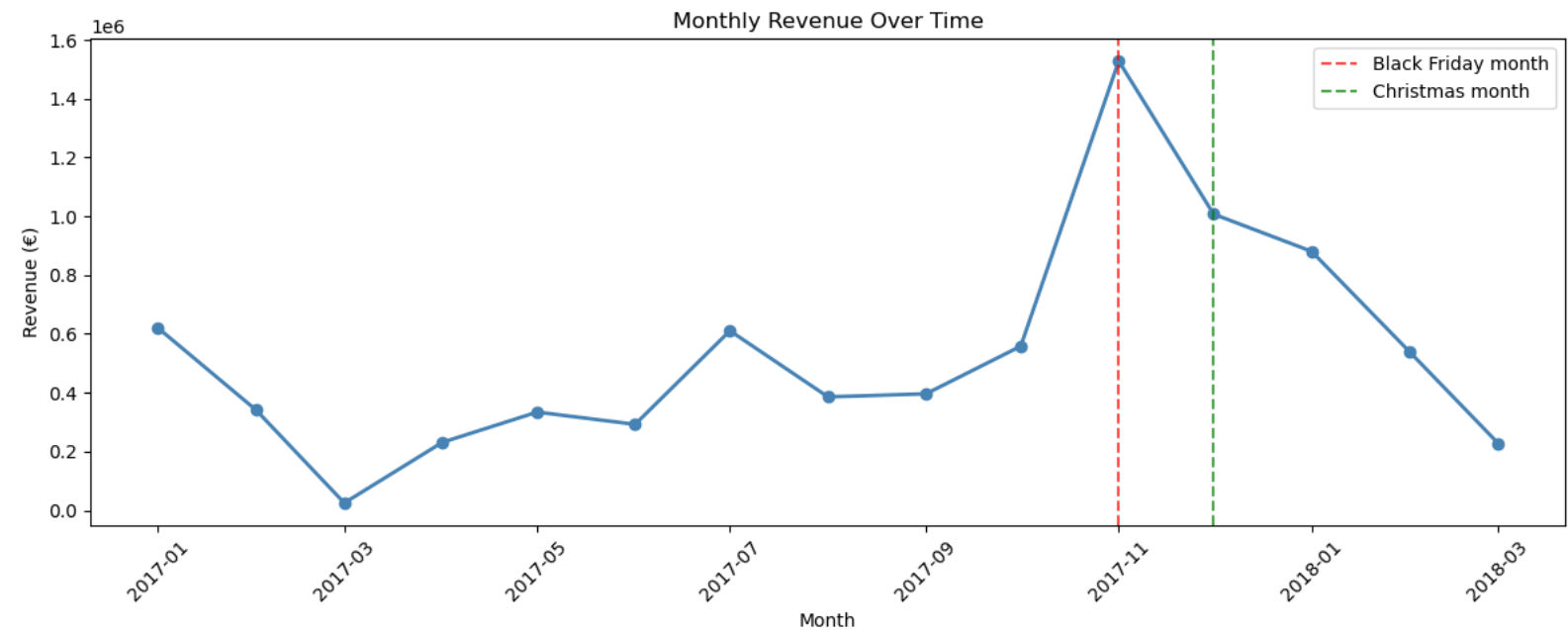
of products that actually sold were discounted at least once

23.2%

average discount depth — substantial, not token

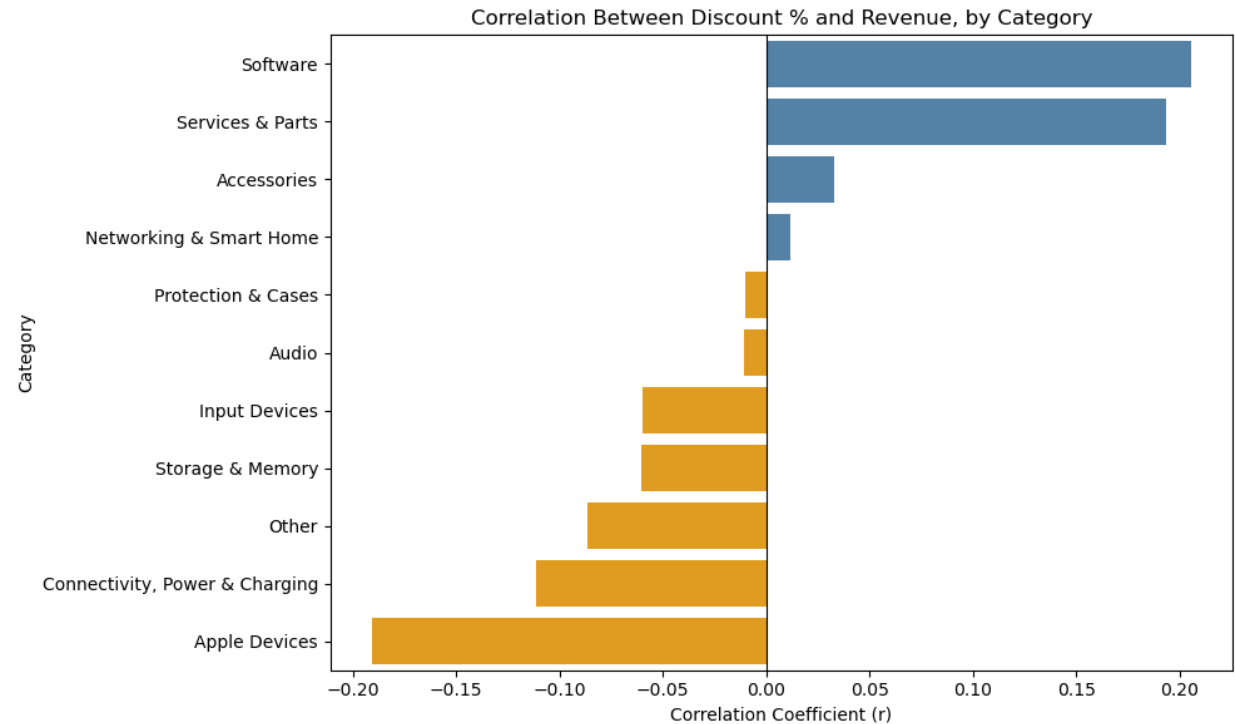
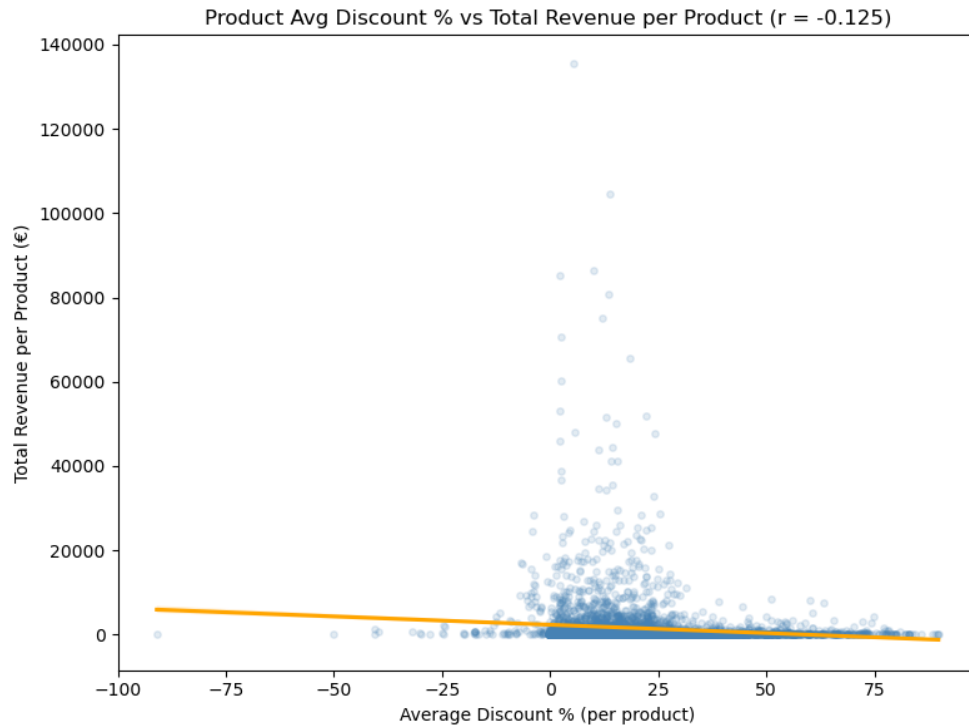


Black Friday Runs on Demand, Not Deeper Discounts



Discount depth during Black Friday week (23.4%) is nearly identical to the rest of the year (23.2%) — the revenue spike comes from order volume and basket size, not markdowns.

Does discount drive revenue?



Product-level correlation between discount % and revenue: $r = -0.125$. Statistically negligible — and the effect varies sharply by category, from +0.21 (Software) to -0.19 (Apple Devices).

What This Means for Eniac

- Stop expanding blanket discounts — ~23% is already the steady state, not an untapped growth lever.
 - Concentrate promotions on categories with a positive discount-revenue relationship (Software, Services & Parts).
 - Protect margin on high-value, high-variance categories like Apple Devices.
 - Reposition marketing around quality and reliability, matching the Board's segment goals.
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Strengthening the Data Foundation

- Fix the corrupted promo_price field at the source (validate $\text{promo_price} \leq \text{price}$).
 - Build and maintain a type-to-category lookup table instead of opaque numeric codes.
 - Add an explicit product condition field rather than inferring it from text.
 - Investigate the Feb–Mar 2017 revenue collapse and track price history going forward.
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